

SK Telecom

AI factory build-out emerges as next catalyst; upgrade to OW

SKT's share price has pulled back 27% from the latest peak (vs. KOSPI's -22%), reflecting investors' rationalized view on the Anthropic proxy trade, in our view. We expect volatility tied to the proxy trade to moderate as optimism appears largely priced in. We are instead focusing on SKT's growing investment case as an AI datacenter ("AI factory") player after its aggressive capacity expansion plan. We see room for meaningful progress, supported by SK Group's strong position across the global AI value chain—an increasingly important catalyst for the stock. We upgrade to OW and raise our SoTP-based Dec-27 PT by 38% to W110,000 (23% potential upside) on reflecting W3T value for the <0.3% stake in Anthropic and W3T for the AI DC business (plus submarine cable) (previous PT Dec-26 W80,000).

- **SKT's AI-led rerating should continue to set it apart from incumbent telco peers.** The stock is up 69% YTD (vs. KT/LGU+ 0%/-2%; -27% from the peak in Jun-26), driven by AI-related strategy, fundamentals, and sentiment. The key swing factor has been the "Anthropic proxy" trade ([see our prior note](#)): SKT owns <0.3% of Anthropic, which we value at \$2.9B (W4.3T) based on the latest funding round valuation of \$965B in May-26 ([link](#)). This compares with SKT's W8T YTD market-cap uplift (or W15T from the June peak), suggesting residual over-exuberance around the implied value of the Anthropic stake. That said, we expect volatility tied to the proxy trade to moderate as optimism appears to be largely priced in.
- **SKT's AI exposure is becoming increasingly tangible** across government-led initiatives, infrastructure and strategic stakes: 1) its consortium was selected as one of four finalists in Korea's Sovereign AI competition (alongside LG AI Research, Upstage and Motif Technologies), which—while monetization remains unclear—could open mid-to-long-term B2G AI opportunities; 2) on infrastructure, SKT is partnering with AWS to build a large-scale AI datacenter in Ulsan targeting 100MW by 2029 (with potential longer-term expansion to 1GW) and has also outlined broader AI DC ambitions of 5GW by 2035 and 15GW longer term; 3) in AI semis, SKT has indirect exposure to domestic fabless chipmaker Rebellion via its 62.5% stake in SAPEON INC, which holds 26% of Rebellion (preparing for an IPO in 1H27E; source: [Digitimes](#)).
- **SKT appears to be pursuing an aggressive AI datacenter build-out**, with SK Broadband (SKBB; 100% owned) expected to be a key execution arm for the group's "AI DC factory" strategy. Following Chairman Chey's long-term plan that includes W1,000T earmarked for AI datacenters, SKT/SKBB recently outlined 5GW of AI DC capacity for 2029–2035 (including the Ulsan project) and 15GW longer term. Given the scale of funding required (e.g., ~W75T per 1GW), we expect SKT to lean on project financing and capital from global big-tech partners to minimize its own burden. Potential AI token end-demand sources span global AI pure plays (e.g., OpenAI, Anthropic), hyperscalers (e.g., Amazon, Microsoft, Google), domestic enterprises/government/institutes, and SK Group captive demand.
- **AI DC upside is not yet fully reflected in SKT's valuation**, and we are

▲ Overweight

Previous: Neutral

017670.KS, 017670 KS

Price (16 Jul 26):W89,400

▲ Price Target (Dec-27):W110,000

Prior (Dec-26):W80,000

Internet and Telco

Stanley Yang ^{AC}

(82-2) 758-5712

stanley.yang@jpmorgan.com

Benjamin Kim

(82-2) 758-5580

benjamin.kim@jpmorgan.com

J.P. Morgan Securities (Far East) Limited, Seoul Branch

Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EBIT - 26E (W bn)	1,852	1,932	4.3%
Adj. EBIT - 27E (W bn)	1,955	2,063	5.5%

Quarterly Forecasts (FYE Dec)

Adj. EPS (W)	2025A	2026E	2027E
Q1	1,698	1,486A	1,800
Q2	391	1,634	1,778
Q3	(783)	1,452	1,582
Q4	456	1,069	1,120
FY	1,762	5,641	6,279

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	60	42	42	37	28
Growth	38	94	46	48	85
Momentum	29	91	32	72	56
Quality	57	66	13	18	55
Low Vol	7	2	1	91	2
ESGQ	96	97	21	-	22

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

See page 9 for analyst certification and important disclosures, including non-US analyst disclosures.

Price Performance



	YTD	1m	3m	12m
Abs	67.1%	-11.2%	-7.4%	59.9%
Rel	5.3%	10.6%	-17.0%	-54.1%

Company Data

Shares O/S (mn)	219
52-week range (W)	140,300-51,400
Market cap (\$ mn)	13,166
Exchange rate	1,486
Free float (%)	61.8%
3M ADV (th)	2,590.0
3M ADV (\$ mn)	183.2
Volatility (90 Day)	68
Index	KOSPI
BBG ANR (Buy Hold Sell)	16 11 4

Key Metrics (FYE Dec)

W in billions	FY25A	FY26E	FY27E
Financial Estimates			
Revenue	17,099	17,655	17,892
Adj. EBITDA	4,663	5,497	5,670
Adj. EBIT	1,073	1,932	2,063
Adj. net income	375	1,201	1,337
Adj. EPS	1,762	5,641	6,279
Reported EPS	1,762	5,641	6,279
BBG EPS	1,764	5,595	6,088
Cashflow from operations	3,924	4,666	4,834
FCFF	1,136	1,798	1,895
Margins and Growth			
Revenue Growth Y/Y (%)	(4.7%)	3.2%	1.3%
EBITDA margin	27.3%	31.1%	31.7%
EBITDA Growth Y/Y (%)	(15.5%)	17.9%	3.1%
EBIT margin	6.3%	10.9%	11.5%
Net margin	2.2%	6.8%	7.5%
Adj. EPS growth	(73.0%)	220.2%	11.3%
Ratios			
Adj. tax rate	28.8%	27.0%	25.0%
Interest cover	-	-	-
Net debt/Equity	0.7	0.7	0.6
Net debt/EBITDA	2.0	1.7	1.7
ROCE	3.4%	5.8%	6.1%
ROE	3.1%	8.9%	9.1%
Valuation			
FCFF yield	6.0%	9.4%	10.0%
Dividend yield	1.9%	4.0%	4.0%
EV/Revenue	1.2	1.2	1.2
EV/EBITDA	4.6	3.9	3.8
Adj. P/E	50.7	15.8	14.2

Summary Investment Thesis and Valuation

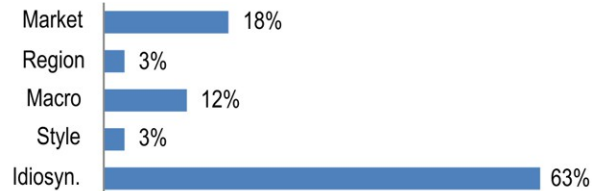
Investment Thesis

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Valuation

Our Dec-27 PT of W110,000 (previously W80,000) is based on a SoTP valuation: (1) a DCF for the telco business, (2) the latest funding-round valuation for SKT's Anthropic stake, and (3) an EV/EBIT multiple for the AI datacenter business.

Performance Drivers



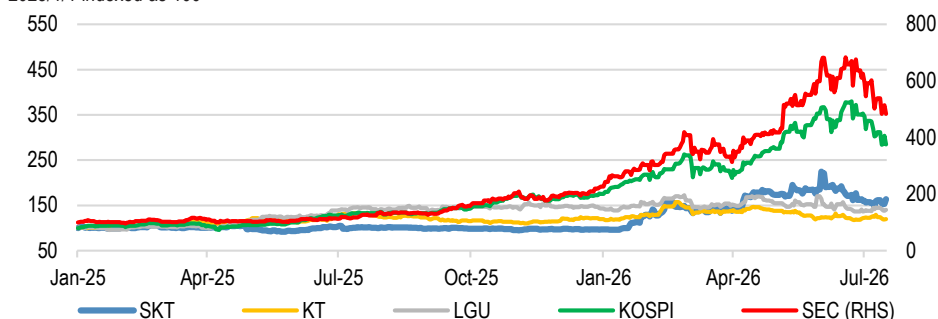
Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.48	0.42
Region: Korea	0.10	0.20
Macro:		
Generic 1st 'CO' Future	-0.34	-0.21
JP Morgan GBI-EM Global Div	0.30	0.19
JPM China A-shares Sentiment	-0.12	-0.16
Quant Styles:		
LowVol	0.12	0.17
DivYld	0.07	0.11
Value	0.11	0.10

incrementally more constructive on the strategy given (1) SK Group's strong positioning across the global AI value chain, (2) rising investment interest from global AI service and infrastructure players in Korea as a potential AI ecosystem hub, (3) a funding approach skewed toward external capital (project finance/partners), and (4) attractive unit economics (c. 15–20% OPM). For context, versus CoreWeave's long-term target (active capacity >1GW, secured >3.5GW by 2027 and >8GW by 2030), we assume SKT reaches ~0.5GW of active AI DC capacity by 2030–2031. On this basis, we estimate W3T of AI DC (plus submarine cable) value, applying a 6.6x EV/EBIT multiple (2030~2031E, in line with CoreWeave, based on Bloomberg consensus estimates).

- **SOTP-based PT increased to W110,000 (23% potential upside):** We move to a SoTP valuation framework comprising: 1) a DCF-derived value of W17.6T value for the core telco business (wireless and fixed line, including legacy datacenter operation), 2) W3T for <0.3% stake of Anthropic (a 30% NAV discount), and 3) W3T for the AI DC business (plus submarine cable), valued at 6.6x EV/EBIT on 2030~2031E earnings.

Figure 1: SK Telecom: Share performance since Jan-25

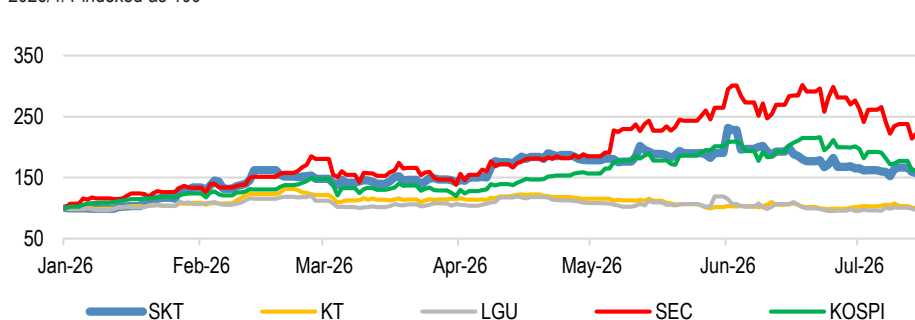
2025/1/1 indexed as 100



Source: Bloomberg Finance L.P.

Figure 2: SK Telecom: YTD share performance

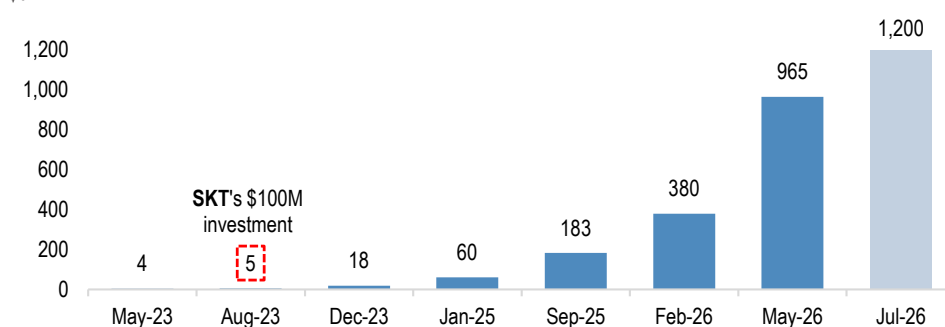
2026/1/1 indexed as 100



Source: Bloomberg Finance L.P.

Figure 3: Anthropic valuation history

\$bn



Source: News articles (MK News, Han Kyung, Business Insider and others), Company data.

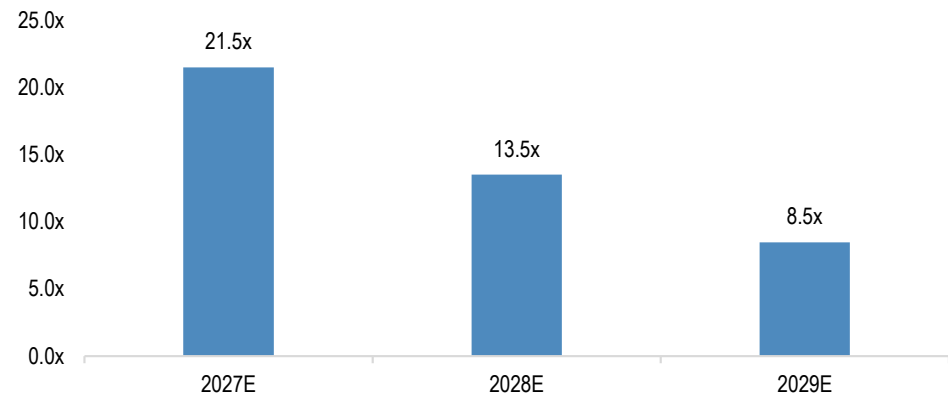
Note: July-2026 data based on implied valuation on the secondary market, not a funding round ([link](#)).

Table 2: SK Telecom: AI datacenter capacity plan

Timeline	Target Capacity	Key Plan
By Nov.2027	40MW	Buildout of Ulsan AI datacenter in partnership with AWS
By 2029	100MW	1st phase expansion of the Ulsan datacenter
By 2035	5GW	Scale Ulsan to ~1GW, secure ~1GW in the Yeongnam region, and additional data center capacity
Long-term	15GW	Complete a 15GW scale AI datacenter infrastructure

Source: Local news (MK News, Han Kyung, and others), Company data.

Figure 4: CoreWeave: EV/EBIT valuation



Source: Bloomberg Finance L.P.

Table 3: SK Telecom: SoTP valuation

W/trm	
	Value
Total equity value	23.6
(1) Telco value (DCF)	17.6
(2) Anthropic stake value	3.0
Latest funding valuation	1,448
% of stake	0.3%
Stake value	4.3
% NAV discount	-30%
(3) AI DC value (0.5GW by 2030-2031E)	3.0
Rev (incl. submarine cable)	3.0
% EBIT margin	15%
EBIT	0.45
Target EV/EBIT multiple	6.6x
Outstanding shares (in mn)	214.8
Target price (W)	110,000

Source: Bloomberg Finance L.P., J.P. Morgan estimates.

Table 4: SK Telecom: Telco business DCF valuation

Wbn	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
EBIT (1- tax)	1,082	1,257	1,367	1,422	805	1,449	1,547			
Net interest	-243	-270	-320	-316	-310	-329	-298			
D&A	3,820	3,755	3,750	3,695	3,590	3,565	3,607			
CapEx	-3,307	-3,046	-3,081	-2,559	-2,323	-2,403	-2,474			
Spectrum payment	-465	-465	-465	-465	-465	-465	-465			
NWC & Others	373	416	150	286	-161	-19	-22			
Consolidated FCF	1,259	1,648	1,402	2,063	1,136	1,798	1,895	1,989	2,089	2,193
Cost of Debt	4.4%									
Cost of Equity	11.5%									
Tax rate	24.0%									
Risk free rate	4.0%									
Market risk premium	7.5%									
Beta	1.0									
Debt/Capital	44%									
Equity/Capital	56%									
WACC	8.4%									
PV of cash flows (2028E-30E)	5,335									
PV of terminal value	21,517									
Net debt	9,248									
Telco business valuation	17,604									

Source: Bloomberg Finance L.P., J.P. Morgan estimates.

Investment Thesis, Valuation and Risks

SK Telecom (Overweight; Price Target: W110,000)

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Target EV/EBIT multiple	6.6x
Outstanding shares (in mn)	214.8
Target price (W)	110,000

Source: Bloomberg Finance L.P., J.P. Morgan estimates.

Risks to Rating and Price Target

Downside risks to our rating and price target include 1) slower-than-expected progress in the AI datacenter business; 2) worse-than-expected repercussions from the data breach issue; and 3) persistent regulatory pressure.

SK Telecom: Summary of Financials

Income Statement					Cash Flow Statement				
W in billions, year end Dec	FY24	FY25	FY26E	FY27E	W in billions, year end Dec	FY24	FY25	FY26E	FY27E
Revenue	17,941	17,099	17,655	17,892	Cash flows from operating	5,087	3,924	4,666	4,834
Operating expense	(16,117)	(16,026)	(15,723)	(15,829)	Net profit	1,387	375	1,201	1,337
Labor	(2,726)	(2,711)	(2,634)	(2,713)	D&A	3,695	3,590	3,565	3,607
Commission	(5,564)	(5,495)	(5,552)	(5,534)	Net working capital & others	5	(42)	(100)	(110)
Marketing	(186)	(183)	(179)	(183)	Cash flows from investing	(2,712)	(1,737)	(2,568)	(2,633)
D&A	(3,695)	(3,590)	(3,565)	(3,607)	Capital expenditures	(3,024)	(2,788)	(2,868)	(2,939)
Others	(3,946)	(4,047)	(3,792)	(3,792)	Other investments	312	1,051	300	306
Operating profit	1,823	1,073	1,932	2,063	Cash flows from financing	(1,810)	(2,712)	(2,300)	(2,438)
EBITDA	5,518	4,663	5,497	5,670	Increase in debt	83	1,358	(170)	(170)
Net non-operating	(62)	(351)	(287)	(280)	Share buyback/sale	(16)	0	0	0
Profit before tax	1,762	722	1,645	1,782	Cash dividend	(804)	(628)	(754)	(754)
Income tax	(375)	(208)	(444)	(446)	Other	(1,073)	(3,441)	(1,376)	(1,514)
Net profit	1,387	375	1,201	1,337	Net change in cash	566	(525)	(202)	(237)
Net profit (excl. Hynix)	1,387	375	1,201	1,337	Beginning cash	1,506	2,072	1,547	1,345
EPS W	6,516	1,762	5,641	6,279	Ending cash	2,024	1,490	1,345	1,107
EPS (W, adj., excl. Hynix)	6,516	1,762	5,641	6,279	Adj. Free cash flow to firm	2,063	1,136	1,798	1,895
Balance Sheet					Ratio Analysis				
W in billions, year end Dec	FY24	FY25	FY26E	FY27E	W in billions, year end Dec	FY24	FY25	FY26E	FY27E
Total current assets	7,477	6,727	6,912	7,034	OP margin	10.2%	6.3%	10.9%	11.5%
Cash & cash eq.	2,024	1,490	1,345	1,107	EBITDA margin	30.8%	27.3%	31.1%	31.7%
ST investments	324	151	154	158	Net profit margin	7.7%	2.2%	6.8%	7.5%
Receivables	2,358	2,265	2,310	2,356	Sales growth	1.9%	(4.7%)	3.2%	1.3%
Other current asset	2,771	2,821	3,103	3,413	Operating profit growth	4.0%	(41.1%)	80.0%	6.8%
Total fixed assets	23,039	23,381	24,150	25,131	EBITDA growth	0.3%	(15.5%)	17.9%	3.1%
Investments	4,220	5,427	6,124	7,026	Net profit growth	21.0%	(73.0%)	220.2%	11.3%
Tangible assets	12,644	11,942	12,062	12,182	EPS growth	20.9%	(73.0%)	220.2%	11.3%
Intangible assets	4,267	3,783	3,670	3,559	DPS (W)	3,540	1,660	3,540	3,540
Other long-term assets	1,907	2,228	2,295	2,364	BVPS (W)	55,066	60,316	65,651	71,619
Total assets	30,515	30,108	31,062	32,165	Shares outstanding (m)	215	215	215	215
Total current liabilities	9,224	6,530	6,540	6,555	Net treasury shares O/S (mn)	213	213	213	213
Accounts payable	2,925	1,688	1,738	1,791	Payout ratio	54.3%	94.2%	62.8%	56.4%
ST borrowings	2,928	3,258	3,138	3,018	Sales/assets (x)	0.6	0.6	0.6	0.6
Other current liabilities	3,371	1,584	1,663	1,747	Assets/equity (x)	2.6	2.5	2.3	2.2
Total LT liabilities	9,463	10,623	10,421	10,227	ROE	12.0%	3.1%	8.9%	9.1%
LT borrowings/bonds	6,567	7,594	7,544	7,494	ROA	4.6%	1.2%	3.9%	4.2%
Other LT liabilities	2,897	3,028	2,877	2,733					
Total liabilities	18,688	17,152	16,961	16,782					
Shareholder's equity	11,828	12,955	14,101	15,383					
Total liabilities and equity	30,515	30,108	31,062	32,165					

Source: Company reports and J.P. Morgan estimates.

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SK Telecom (017670.KS, 017670 KS) Price Chart



Date	Rating	Price (W)	Price Target (W)
08-Aug-23	OW	46800	58,000
25-Jan-24	OW	49200	60,000
29-May-24	OW	51600	62,000
07-Aug-24	OW	51800	66,000
13-May-25	N	52200	58,000
24-Jul-25	N	56100	61,000
06-Feb-26	N	76500	80,000

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Apr 30, 1999. All share prices are as of market close on the previous business day.

The chart(s) show J.P. Morgan’s continuing coverage of the stocks; the current analysts may or may not have covered it over the entire period. J.P. Morgan ratings or designations: OW = Overweight, N= Neutral, UW = Underweight, NR = Not Rated

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	Overweight (buy)	Neutral (hold)	Underweight (sell)
J.P. Morgan Global Equity Research Coverage*	53%	36%	12%
IB clients**	83%	80%	73%
JPMS Equity Research Coverage*	51%	37%	12%
IB clients**	95%	92%	87%

*Please note that the percentages may not add to 100% because of rounding.

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